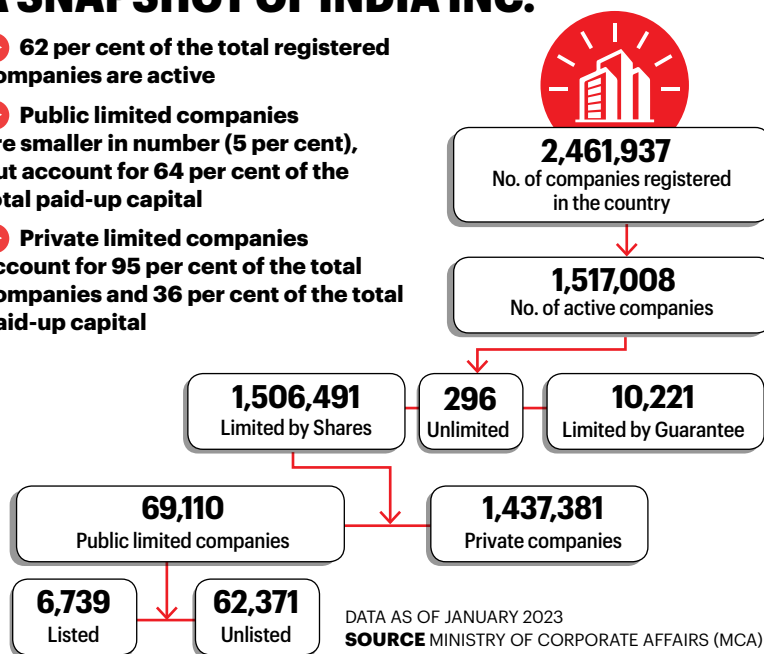


A SNAPSHOT OF INDIA INC.

▶ **62 per cent of the total registered companies are active**

▶ **Public limited companies are smaller in number (5 per cent), but account for 64 per cent of the total paid-up capital**

▶ **Private limited companies account for 95 per cent of the total companies and 36 per cent of the total paid-up capital**



“They (auditors) don’t always have to resign. They can take up the issue with the board or stakeholders and if that is not sufficient, they can highlight the issues in the audit report”

YOGESH SHARMA
DEPUTY MANAGING PARTNER,
BDO INDIA

standards. In BharatPe and Zilingo, investigations led to the sacking of founders and several employees over suspected financial irregularities. The biggest of the start-up issues is being played out at Byju’s—which faces allegations of misgovernance. Three board members have stepped down from the company and its statutory auditor Deloitte Haskins

has resigned. The firm has faced allegations of aggressive marketing tactics, mis-selling to parents who were financially unprepared for the offerings, and failure to file audited accounts.

“It’s a combination of large business failures due to various issues and problems in start-ups that are responsible for many of the financial issues that plague

India Inc. today,” notes a senior auditor who declined to be identified, adding that the boards of start-ups also need to be made more accountable.

Experts and industry players say investors too need to remain vigilant. Often times, a new board or industry veterans are roped in by the government or investors—be it in the case of IL&FS or Byju’s—to restore normalcy, if not to sort out the mess and regain public trust.

Entrepreneur Somdutta Singh, Founder & CEO of e-commerce solutions provider Assiduous Global Inc., says investors can stay vigilant by adopting a multi-pronged approach. This includes conducting thorough due diligence before investing, keeping a close eye on red flags such as inconsistent financial performance, excessive insider transactions, or frequent change of auditors and keeping open communication channels with the start-up’s management and asking probing questions.

To combat issues in the start-up sector, the Ministry of Corporate Affairs is working on a regulatory regime for large unlisted companies—aimed at privately held start-ups, under which they would have to adhere to corporate governance norms. The Company Law Committee is understood to have been tasked with the issue.

Another challenge for almost everyone—be it the auditor or board members—is lengthy audit reports that can often run into hundreds if not thousands of pages, due to the higher regulatory requirements. “With increasing volumes of data sent to board members for their reading and analysis—often in large corporations and financial institutions, these run into several hundreds of pages for every board meeting—